

CENTRAL BOARD OF SECONDARY EDUCATION — PRACTICE EXAMINATION**CLASS IX • SOCIAL SCIENCE (SUBJECT CODE: 087) • ACADEMIC SESSION 2026-27****SET E — CASE STUDY & SOURCE-BASED SCENARIOS****CHAPTER 08: BUILDING BLOCKS IN ECONOMICS: THE PROBLEM OF CHOICE**

TIME ALLOWED: 45 MINUTES

MAXIMUM MARKS: 25 MARKS

SERIES: CBS-IX-SST-SET-E-08

Student's Name: _____

Roll No.: _____

Class & Section: Class IX - _____

Date of Exam: _____

Invigilator's Sign: _____

General Instructions (SET E - Case Study & Source-Based Scenarios):

1. The question paper comprises **5 In-Depth Case Studies & Source Scenarios** with **5 MCQs each (Total: 25 Questions, 1 Mark each)**.
2. Read each source passage, historical inscription, geographic case, and economic scenario carefully before answering the corresponding questions.
3. Each question has 4 options with a single correct answer.
4. All questions are compulsory. There is no negative marking.
5. Darken the corresponding bubble on the **OMR Sheet** completely using a blue/black ballpoint pen.

CASE STUDY 1: SCARCITY, TRADE-OFFS & OPPORTUNITY COST ON A 5-ACRE FAMILY FARM

Ramesh is a small farmer in Satara district, Maharashtra, who owns a 5-acre agricultural holding with a single irrigation tubewell. Ramesh faces the foundational economic problem: resource scarcity. His land area, irrigation water supply, family labour, and working capital of ₹1,00,000 are strictly limited, whereas his family's household wants (children's school fees, housing repairs, and food security) are unlimited. Ramesh evaluates two alternative agricultural choices: (Option A) Cultivating sugarcane, which requires extensive irrigation and a full 12-month growing cycle, yielding an expected net profit of ₹1,80,000; or (Option B) Cultivating two successive crops of soybean followed by wheat, which consumes less water and yields an expected combined net profit of ₹1,40,000. Ramesh decides to plant sugarcane on his entire 5 acres. In making this choice, Ramesh incurs an 'Opportunity Cost'—the forfeited benefit of the next best alternative foregone (the ₹1,40,000 net profit and lower water risk of the soybean-wheat combination). Economics studies precisely how producers and consumers make optimal allocation decisions under finite resource constraints.

Q.1 What is the fundamental economic reality that forces farmer Ramesh to make a choice between sugarcane and soybean-wheat?

- | | |
|--|---|
| (A) Unlimited financial wealth and infinite farm land | (B) Scarcity of productive resources (land, water, capital) with alternative competing uses |
| (C) Government orders banning all agricultural farming | (D) A complete lack of consumer demand for food crops |

Q.2 What is the 'Opportunity Cost' of Ramesh's decision to cultivate sugarcane on his 5-acre plot?

- | | |
|--|---|
| (A) Zero, because sugarcane is a profitable crop | (B) The net return and benefits of the next best alternative foregone (the ₹1,40,000 return from soybean and wheat) |
| (C) The cost of purchasing a second diesel tractor | (D) The total land area of the entire state of Maharashtra |

Q.3 What would happen to the concept of opportunity cost if irrigation water and land were infinite and abundant free gifts?

- | | |
|--|--|
| (A) Opportunity cost would become infinite | (B) Opportunity cost would be zero because no sacrifice of one good would be required to produce another |
| (C) Farming would become illegal | (D) Every farmer would go bankrupt immediately |

Q.4 Under which factor of production does Ramesh's 5-acre agricultural soil and tubewell water fall?

- | | |
|-------------------|---|
| (A) Labour | (B) Land (natural productive gifts endowed by nature) |
| (C) Human capital | (D) Financial currency |

Q.5 Ramesh's cash savings of ₹1,00,000 used to purchase hybrid seeds, chemical fertilizers, and diesel fuel represent:

- | | |
|-------------------|------------------------|
| (A) Fixed capital | (B) Working capital |
| (C) Pure land | (D) Non-economic goods |

CASE STUDY 2: THE PRODUCTION POSSIBILITY FRONTIER (PPF) OF A DEVELOPING NATION

An economic planning board in a developing nation models the country's macroeconomic allocation choices using a Production Possibility Frontier (PPF). With its existing endowment of labour, physical capital, and natural resources, the economy can produce combinations of two broad aggregates: Consumer Goods (food grains, clothing, healthcare) and Capital Goods (tractors, power stations, factory machine tools). The PPF curve slopes downward from left to right because diverting scarce resources into capital goods necessitates sacrificing current consumer goods output (trade-off).

Furthermore, the PPF is concave to the origin because resources are not perfectly adaptable to all industries; transferring specialized textile workers and farmlands into heavy steel manufacturing increases the 'Marginal Opportunity Cost'. Point P lies on the frontier, signifying full and productive resource efficiency. Point U lies inside the curve, reflecting high unemployment and idle factory capacity. Point X lies outside the frontier, representing an unattainable level of output given current technology. Over a decade, investments in technical education, scientific research, and infrastructure shift the entire PPF outward to the right, reflecting genuine economic growth.

Q.6 Why does the Production Possibility Frontier (PPF) slope downwards from left to right?

- | | |
|--|---|
| (A) Because all resources in the economy are completely infinite | (B) Because resources are scarce; producing more capital goods requires diverting resources and reducing consumer goods |
| (C) Because prices of all goods automatically fall to zero | (D) Because technology always deteriorates over time |

Q.7 Why is the PPF typically concave to the origin?

- | | |
|--|---|
| (A) Due to decreasing opportunity cost in all industries | (B) Due to increasing Marginal Opportunity Cost—resources are specialized and not equally adaptable across different production sectors |
| (C) Because consumer demand remains perfectly constant forever | (D) Because all workers in an economy are identical clones |

Q.8 What does an economy operating at Point U situated INSIDE its PPF signify?

- | | |
|---|---|
| (A) Maximum possible economic growth | (B) Inefficiency, underemployment of labour, or idle unutilized factory machinery |
| (C) An output combination that violates the laws of physics | (D) An overproduction of goods that cannot be stored |

Q.9 How can an economy achieve Point X, which is currently UNATTAINABLE outside its existing frontier?

- | | |
|--|--|
| (A) By printing trillion-dollar paper currency notes overnight | (B) Through economic growth driven by technological innovations, capital accumulation, and human skill development that shifts the PPF outward |
| (C) By forcing citizens to stop consuming all food items | (D) By closing down all schools and hospitals |

Q.10 What happens to a nation's PPF if a catastrophic earthquake destroys 40% of its industrial factories and transport bridges?

- | | |
|---|---|
| (A) The PPF shifts outward to the right | (B) The PPF shifts inward to the left, reflecting a severe contraction in total productive capacity |
| (C) The PPF turns into a vertical straight line | (D) The PPF remains completely unchanged |

CASE STUDY 3: FACTOR ALLOCATION & CAPITAL DYNAMICS IN A HANDLOOM TEXTILE CLUSTER

In the historic weaving town of Paithan, Maharashtra, an enterprise produces handwoven Paithani silk sarees. The proprietor, Anandi, organizes the four classical factors of production: (1) Land: the workshop site in the weaver's colony; (2) Labour: six master artisans performing intricate Zari borders and weaving; (3) Physical Capital; and (4) Enterprise: Anandi's organizational initiative, marketing design, and financial risk-taking. Within physical capital, economists draw a vital distinction: Anandi's two wooden jacquard handlooms, winding frames, and workshop shed represent 'Fixed Capital'—durable assets that survive multiple production cycles over decades. In contrast, the mulberry raw silk yarn, gold-plated silver Zari threads, natural chemical dyes, and the liquid cash used to pay weekly artisan wages represent 'Working Capital'—assets consumed or transformed within a single saree production cycle. Balancing fixed and working capital is critical; if Anandi spends all funds buying four more wooden looms (fixed capital) but has no cash left to purchase raw silk yarn (working capital), the looms sit idle, halting production.

Q.11 What is the fundamental economic difference between Fixed Capital and Working Capital in Anandi's textile enterprise?

- | | |
|--|--|
| (A) Fixed capital is always owned by the government, while working capital is owned by foreign banks | (B) Fixed capital (looms, sheds) persists and is used repeatedly over many production cycles, while working capital (yarn, cash) is consumed in a single cycle |
| (C) Fixed capital is made of paper, while working capital is made of iron | (D) There is zero difference; both terms mean identical things |

Q.12 Which of the following items in Anandi's workshop is classified as Working Capital?

- | | |
|---|--|
| (A) The wooden handloom frames | (B) The raw mulberry silk yarn, Zari threads, and liquid wage cash |
| (C) The brick building housing the workshop | (D) The electric transformer outside the factory |

Q.13 What factor payment (reward) is received by the master artisans for providing their physical skill and time?

- | | |
|--------------|------------|
| (A) Rent | (B) Wages |
| (C) Interest | (D) Profit |

Q.14 What factor payment does proprietor Anandi earn for organizing production, innovating designs, and bearing commercial market risk?

- | | |
|-----------|-------------------------------------|
| (A) Rent | (B) Profit (residual factor income) |
| (C) Wages | (D) Taxes |

Q.15 If an entrepreneur purchases excessive machinery but possesses zero working capital for raw materials, what economic consequence follows?

- | | |
|--|--|
| (A) Production surges by 500% | (B) Machinery remains idle and production stalls due to a working capital bottleneck |
| (C) The government gives free gold to the enterprise | (D) Raw materials appear automatically out of thin air |

CASE STUDY 4: HUMAN CAPITAL FORMATION & THE DEMOGRAPHIC DIVIDEND IN INDIA

Economists emphasize that while physical capital (factories, highways, machinery) is essential, 'Human Capital' is the ultimate driver of long-term economic growth. Human capital represents the stock of knowledge, technical expertise, cognitive skills, and physical health embodied within a working population. A rural district launched an integrated human capital development program: upgrading secondary schools with science laboratories, providing digital literacy, expanding maternal healthcare clinics, and operating vocational training institutes in renewable energy and electronics assembly. The outcomes over 15 years were striking: average worker productivity grew by 35%, rural households diversified away from subsistence farming into high-value manufacturing and software services, and infant mortality dropped by half. India currently possesses one of the world's youngest populations, with over 65% of citizens in the working-age bracket (15 to 64 years). However, economists warn that this 'Demographic Dividend' will turn into a demographic liability unless backed by massive, sustained investments in education, healthcare, and productive skill formation.

Q.16 What constitutes 'Human Capital' in modern economic analysis?

- | | |
|--|---|
| (A) The total physical number of human bodies living in a country regardless of their health or skills | (B) The accumulated knowledge, technical skills, innovative capability, and physical health embodied in a workforce |
| (C) The total amount of paper money locked in bank vaults | (D) The number of consumer goods bought by households |

Q.17 What primary public investments are required to transform raw unskilled labour into productive human capital?

- | | |
|---|--|
| (A) Printing more lottery tickets | (B) Sustained investments in quality schooling, technical vocational training, and comprehensive public healthcare |
| (C) Constructing larger shopping malls in elite neighborhoods | (D) Banning all scientific research universities |

Q.18 What is the 'Demographic Dividend' that India currently possesses?

- | | |
|---|---|
| (A) Having a population where 90% of people are over 80 years old | (B) A demographic window where the working-age population (15–64 years) is significantly larger than the dependent elderly and child population |
| (C) A permanent exemption from international trade tariffs | (D) Having an economy based 100% on gold mining |

Q.19 Under what condition could India's demographic dividend become a demographic liability?

- | | |
|--|---|
| (A) If all citizens become multi-billionaires | (B) If the young workforce remains uneducated, unskilled, chronically unhealthy, and unemployed |
| (C) If the country builds too many computer engineering laboratories | (D) If agricultural yields double across the country |

Q.20 How does human capital formation contribute to structural transformation in an economy?

- (A) It forces all educated citizens to return to primitive hunter-gatherer lifestyles
- (B) It equips workers with advanced cognitive skills, enabling them to transition from low-productivity agriculture to high-value manufacturing and services
- (C) It reduces the national literacy rate to zero
- (D) It makes machines completely obsolete

CASE STUDY 5: STRUCTURAL TRANSFORMATION & SECTORAL DYNAMICS IN THE INDIAN ECONOMY

National income accounts classify all economic activities into three broad sectors: Primary (extraction of natural resources: agriculture, forestry, mining), Secondary (processing and manufacturing raw materials: factories, construction, power plants), and Tertiary (intangible services: transportation, banking, education, IT). Economic development historically follows a universal path of structural transformation: as observed in Western Europe and East Asia, economies initially derive over 70% of GDP and employment from agriculture. As industrialization proceeds, the Secondary manufacturing sector surges to become the primary contributor to output and jobs. Eventually, mature economies transition to service-dominated Tertiary sectors. However, India's structural transformation bypassed the traditional manufacturing-heavy phase: the Tertiary service sector expanded rapidly, today contributing over 54% of India's Gross Value Added (GVA). Yet, a significant structural asymmetry persists: the Primary agricultural sector contributes barely 16% to 18% of GDP, yet continues to employ nearly 45% of the total Indian workforce, indicating severe disguised unemployment and low agricultural labour productivity.

Q.21 Which economic sector includes activities that directly extract and utilize natural resources (such as farming, fishing, and mining)?

- (A) Tertiary sector
- (B) Primary sector
- (C) Quaternary sector
- (D) Financial banking sector

Q.22 How did India's economic structural transformation differ from the classic historical path of Western economies?

- (A) India never developed any service industries
- (B) India transitioned directly from an agrarian economy to a service-led economy, without manufacturing becoming the dominant employer
- (C) India abolished all private businesses in 1947
- (D) India became an economy based 100% on coal mining

Q.23 What major structural asymmetry exists in the Indian economy between GDP contribution and workforce employment in agriculture?

- (A) Agriculture produces 90% of GDP but employs only 1% of workers
- (B) Agriculture generates barely 16–18% of GDP but still employs approximately 45% of the total national workforce
- (C) Agriculture generates zero output and employs zero workers
- (D) Agriculture and services have identical GDP shares of 50% each

Q.24 What phenomenon occurs in Indian agriculture where more workers are engaged in farm operations than strictly necessary?

- (A) Seasonal hyper-inflation
- (B) Disguised unemployment (where marginal productivity of surplus workers is near zero)
- (C) Voluntary corporate leave
- (D) Frictional technological unemployment

Q.25 Under which economic sector are software development, banking, telecommunications, and healthcare classified?

- (A) Primary sector
(B) Secondary sector
(C) Tertiary (Services) sector
(D) Agricultural sector

CBSE CANDIDATE OMR ANSWER RESPONSE GRID (SET E)

01	☐ A ☐ B ☐ C ☐ D	02	☐ A ☐ B ☐ C ☐ D	03	☐ A ☐ B ☐ C ☐ D	04	☐ A ☐ B ☐ C ☐ D	05	☐ A ☐ B ☐ C ☐ D
06	☐ A ☐ B ☐ C ☐ D	07	☐ A ☐ B ☐ C ☐ D	08	☐ A ☐ B ☐ C ☐ D	09	☐ A ☐ B ☐ C ☐ D	10	☐ A ☐ B ☐ C ☐ D
11	☐ A ☐ B ☐ C ☐ D	12	☐ A ☐ B ☐ C ☐ D	13	☐ A ☐ B ☐ C ☐ D	14	☐ A ☐ B ☐ C ☐ D	15	☐ A ☐ B ☐ C ☐ D
16	☐ A ☐ B ☐ C ☐ D	17	☐ A ☐ B ☐ C ☐ D	18	☐ A ☐ B ☐ C ☐ D	19	☐ A ☐ B ☐ C ☐ D	20	☐ A ☐ B ☐ C ☐ D
21	☐ A ☐ B ☐ C ☐ D	22	☐ A ☐ B ☐ C ☐ D	23	☐ A ☐ B ☐ C ☐ D	24	☐ A ☐ B ☐ C ☐ D	25	☐ A ☐ B ☐ C ☐ D

Total Questions Attempted: ____ / 25

Marks Obtained: ____ / 25

Evaluator's Signature: _____

OFFICIAL ANSWER KEY & CASE STUDY ANALYTICAL EXPLANATIONS (SET E)

Q. No.	Correct	Curricular Source Analysis & Conceptual Explanation
Q.1	(B)	Scarcity of resources (fixed land, limited water, finite savings) paired with alternative uses forces economic decision-makers to choose.
Q.2	(B)	Opportunity cost is the value of the next best alternative sacrifice or forfeited opportunity when a choice is made.
Q.3	(B)	Without resource scarcity, producing more of one good does not require sacrificing any other good, reducing opportunity cost to zero.
Q.4	(B)	In economics, 'Land' includes all original natural resources, soil endowments, and natural water reserves.
Q.5	(B)	Working capital consists of raw materials (seeds, fertilizers) and liquid operating funds consumed within a single production cycle.
Q.6	(B)	The downward slope reflects scarcity and trade-offs: increasing output of one good requires reducing output of another.
Q.7	(B)	Concavity is caused by increasing marginal opportunity cost as progressively less suitable resources are transferred between industries.
Q.8	(B)	Points inside the PPF frontier reflect underutilized resources, technological inefficiency, or involuntary unemployment.
Q.9	(B)	Points beyond the frontier become attainable only through economic growth that expands productive capacity and shifts the PPF outward.
Q.10	(B)	Physical destruction of productive capital shrinks total macroeconomic production possibilities, shifting the PPF inward.
Q.11	(B)	Fixed capital consists of durable physical equipment used over years; working capital consists of raw materials and operating cash consumed in one cycle.
Q.12	(B)	Raw silk, threads, and operational cash are used up and transformed into finished sarees within a single production cycle.
Q.13	(B)	Labour is compensated through contractual factor income termed wages (or salaries).
Q.14	(B)	The entrepreneur bears market risk and coordinates resources, earning the residual return known as profit.
Q.15	(B)	Without working capital (raw materials, operating liquidity), fixed capital cannot operate, causing capacity underutilization.
Q.16	(B)	Human capital refers to the productive abilities, technical skills, knowledge, and health embodied within human individuals.
Q.17	(B)	Education, vocational skilling, and healthcare are the three primary channels for human capital formation.
Q.18	(B)	The demographic dividend arises when a high proportion of the population is in the productive working-age bracket relative to dependents.
Q.19	(B)	Without quality education, healthcare, and formal job creation, a large youth cohort faces unemployment, social distress, and economic stagnation.
Q.20	(B)	Higher human capital enables workforce mobility from subsistence farming into high-productivity industrial and knowledge service sectors.

Q. No.	Correct	Curricular Source Analysis & Conceptual Explanation
Q.21	(B)	The Primary sector involves direct exploitation of natural resources (agriculture, animal husbandry, mining, and forestry).
Q.22	(B)	India leapfrogged directly from agriculture to services (IT, finance, telecommunications) without a dominant manufacturing expansion phase.
Q.23	(B)	The huge gap between agriculture's low GDP share (~17%) and its large employment share (~45%) reflects low agricultural labour productivity.
Q.24	(B)	Disguised unemployment occurs when surplus family workers appear employed on family farms, but withdrawing them would not reduce output.
Q.25	(C)	Intangible services supporting production and societal welfare belong to the Tertiary sector.